# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

The Municipality of Lasam, Province of Cagayan, was once part of the town of Gattaran. It became a town through a bill introduced by Congressman Paulino Alonzo of the 2nd District of Cagayan. It was named after the late Governor Hilario Lasam and was inaugurated on July 1, 1952. Lasam is now classified as a first (1st) class municipality. It is composed of thirty (30) barangays.

## B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Lasam for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules, and regulations have been complied with, and funds were utilized in the most efficient, effective, and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

## C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Lasam, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

| Particulars | 2025 | 2024 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Assets | 763,304,231.56 | 718,101,415.36 | 45,202,816.20 |
| Liabilities | 104,602,691.89 | 123,343,913.70 | (18,741,221.81) |
| Government Equity | 658,701,539.67 | 594,757,501.66 | 63,944,038.01 |
| **Financial Performance** | | | |
| Income | 261,644,326.15 | 225,463,816.44 | 36,180,509.71 |
| Expense | 243,250,741.42 | 210,239,294.53 | 33,011,446.89 |
| Net Income | 18,393,584.73 | 15,224,521.91 | 3,169,062.82 |

## D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects, and activities, are as follows:

| Program/Project/Activity | Amount |
|---|---|
| Construction of Sanitary Landfill Facility | 5,998,131.85 |
| Development of Lasam Town Hall Phase Vl | 4,996,537.59 |
| Development of Lasam Town Center Phase IV | 4,993,605.73 |
| Development of Lasam Municipal Park Phase VI | 3,997,568.77 |
| Desilting of Tucalan Creek | 2,998,475.53 |
| Construction of Youth Learning Center | 2,997,893.92 |
| Reblocking of Road at Centro 02 INC-CSU | 2,995,602.64 |
| Development of Lasam Public Cemetery Phase IV | 2,497,727.67 |
| Construction of Slaughterhouse Phase III | 1,997,912.04 |
| Concreting of Access Road going to SLF with Slope Protection | 1,997,050.44 |
| **Total** | **35,470,506.18** |

## E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Lasam, Cagayan for the year-ended December 31, 2025 due to: (1) deficiencies in the Property, Plant and Equipment accounts, thus, affecting the reliability of the said account amounting to P554,822,799.99; and (2) non-compliance in Local Road Network Reporting Guidelines, thus, affecting the reliability of the Road Networks account amounting to P213,683,188.14.

## F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the Cash in Bank-Local Currency, Current Account (LCCA) amounting to P113,067,659.09 as at December 31, 2025 cannot be established due to: (a) unadjusted stale checks; (b) unreconciled balances of the accounting and treasury records; (c) unrecorded reconciling items; and (d) unreleased commercial checks as at December 31, 2025 that were not restored to cash and liability accounts, contrary to IPSAS 1 and Section 112 of Presidential Decree (PD) No. 1445, thereby, the cash accounts may not be fairly presented in the Financial Statements.

   We recommended that the Management require:

   a. The Municipal Accountant and Municipal Treasurer to perform a joint reconciliation of their respective records to identify the cause of the variances. The Municipal Accountant must record valid reconciling items, and the Municipal Treasurer must update the cash book, ensuring all valid transactions and adjustments are entered up to the current date. The Municipal Treasurer must also update and balance the cashbook daily;

b. The Municipal Accountant to perform a stringent monthly review of the Bank Reconciliation Statements to ensure the immediate identification and adjustment of reconciling items, ensuring that reconciling items do not remain unresolved for extended periods and adjustments are made within the same accounting period to maintain the integrity of the Financial Statements;

c. The Municipal Treasurer to prepare a Schedule of Unreleased Commercial Checks, particularly at the end of the year, and provide a copy to the Accounting Office; and

d. The Municipal Accountant to prepare all necessary adjusting entries to record reconciling items that were not taken up in the books to reflect correct balances of the affected accounts, and thereafter, for the ensuing year, another Journal Entry Voucher shall be drawn to reverse the previous entries made for the unreleased checks.

2. The non-accrual of the accumulated earned and unused leave credits of permanent, casual and elective government personnel as at December 31, 2025 resulted in the understatement of Leave Benefits Payable and Terminal Leave Benefits and the overstatement of Government Equity, contrary to IPSAS 1, IPSAS 39 and COA Circular No. 2024-009 dated July 16, 2024, thereby, affecting the fair presentation of the Financial Statements.

   We recommended that the Management undertake the following:

   a. The Human Resource Management Officer to submit to the Municipal Accountant a year-end report of the earned and unused leave credits of all permanent, casual, and elective government personnel of the Municipality;

   b. The Municipal Budget Officer to provide, for the inclusion in the Municipality's Annual Budget, the amounts necessary to cover the payment of earned and unused leave credits of all permanent, casual, and elective government employees, and to ensure the proper authorization and appropriation thereof; and

   c. The Municipal Accountant to recognize and accrue, at year-end, the earned and unused leave credits based on the report submitted by the Human Resources Office to ensure that the Leave Benefits Payable and Government Equity accounts are fairly stated and that leave benefits transactions are recorded in the proper accounting period, in accordance with COA Circular No. 2015-009 dated December 1, 2015.

3. Cash advances granted to officials and employees of the Municipality, including multiple grants to two officials, totaling to P451,080.50, remained unliquidated as at year end, contrary to Section 89 of PD No. 1445 and COA Circular No. 97-002 dated February 10, 1997, which is an indication of lapses in the internal control of

the Municipality over the grant and liquidation of cash advances, resulting to overstatement of asset and understatement of expenses.

We recommended that the Management:

a. Require the immediate liquidation of the outstanding cash advances as the prescribed period for liquidation has already lapsed, otherwise, cause the withholding of the salaries of the persons liable pursuant to the last paragraph of Item 5.1 of COA Circular No. 97-002 dated February 10, 1997;

b. Ensure that all cash advances are liquidated as soon as possible or within the prescribed period as provided for in the aforementioned regulations;

c. Ensure that no additional cash advance shall be granted to any official or employee unless the previous cash advance has been settled; and

d. Ensure strict compliance with Section 89 of PD No. 1445 and COA Circular No. 97-002 dated February 10, 1997 to avoid the sanctions provided by law.

## G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | 679,640.45 | - | - | 679,640.45 | - |
| Current Year | - | - | - | - | - |
| **Total** | **679,640.45** | **-** | **-** | **679,640.45** | **-** |
| **Disallowances** | | | | | |
| Prior Years | 16,303,819.52 | - | - | 16,303,819.52 | - |
| Current Year | - | - | - | - | - |
| **Total** | **16,303,819.52** | **-** | **-** | **16,303,819.52** | **-** |
| **Charges** | | | | | |
| Prior Years | - | - | - | - | - |
| Current Year | - | - | - | - | - |
| **Total** | **-** | **-** | **-** | **-** | **-** |

## H. Status of Implementation of Prior Year's Audit Recommendations

Out of thirty-six (36) audit recommendations embodied in the CY 2024 Annual Audit Report, twenty-two (22) were fully implemented and fourteen (14) were not implemented.